

Types of Financing Relationships

Besides your word and good credit, what would convince a lender to hand you \$350,000 for the purchase of a new home? Lenders don't simply hand out thousands and thousands of dollars to borrowers willy-nilly. What happens if a buyer defaults on the loan? Is the lender out of luck? Hardly.

Hypothecation

Even though it sounds like something you may have faced with trepidation during high school algebra, trust us, it's not. Because lenders want something in return for the risk they're taking in making a loan (the interest borrowers pay isn't enough), they require borrowers to use the property they're buying as collateral for the loan. Borrowers keep their rights of possession and control of the property, but if they default on the loan, the lender will take over the property (foreclose) and sell it to recoup its financial losses. The security instrument, whether a mortgage or a deed of trust, gives the lender an equitable right in the property: the right to foreclose on the property in case of borrower default. This right remains until the loan is paid in full. That's **hypothecation** in action.

Example

Tristan and Louise are buying a house for \$465,000. They put down 20% (\$93,000) and then get a loan for the balance of the purchase price (\$372,000). Their lender required them to use the house they're buying as security for the loan's repayment. Tristan and Louise will have their rights of possession and control of the hypothecated property, but if they default on the loan, the lender will foreclose and sell the house to recoup its financial losses.

Pledges

A **pledge** is different from hypothecation in that the owner actually surrenders possession of the property to a lender to hold as security for a debt repayment. Stock certificates are commonly used as pledges for a loan. Once the borrower repays the loan, the pledge is returned. But if the borrower defaults, the lender can sell the pledged item(s) to regain the principal and interest amount.

Leverage

Another way to look at real estate financing is **leverage**, which is using various financial instruments or borrowed funds to purchase and/or increase a property's (or other asset's) potential return. Leverage comes into play with real property financing when borrowers put down a percentage of their own money (the down payment) in order to purchase a property of which they can use, enjoy, and control 100%. Real estate investors are highly interested in leverage. If an investor puts 10% down on a property worth \$350,000 (\$35,000) and that property appreciates 20% over six years, the investor earns 20% on the entire \$350,000 value, not just on the initial \$35,000 invested.

Ownership Interest

So who really owns the property when it's used as collateral? This gets to the question of title to the property, and the answer is, it depends.

- When a mortgage is used to secure the property as collateral, the borrower holds both legal and equitable title to the property, but the mortgage document places a lien on the property. The lien gives the lender the right to seize and sell the house should the borrower default. This lien shows up on the property title, and the property can't be transferred without the debt to the mortgagee being satisfied. In other words, the borrower is the legal owner of the property.
- When a deed of trust is used to secure the property as collateral, the borrower holds equitable title (meaning the borrower has consistent control over the property), and a trustee holds the legal title. Borrowers have the right to use and occupy the property until they've repaid the loan. Once the loan is repaid, the trustee transfers legal title to the borrower. Because the trustee already has title to the property, it's much easier for a lender to foreclose on a property.

Every state is different, so always check to see how financing works in the state where you're working.